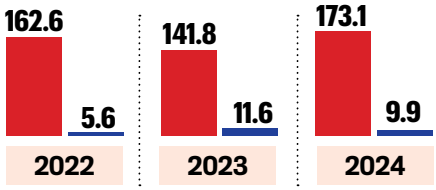
SIZE OF TRADE

Though Indian toy exports to the US are not much, they are steadily increasing. The US remains our largest market for toy exports



India's exports to the US ($ mn)
India's imports from the US ($ mn)
Source: EY analysis

TARIFF WAR

Earlier

0%

70%*

(*except 20% for parts of electronic toys)

Now

26%*

Unchanged

US India

(Average tariff)

*Paused for 90 days

the global toy market, but the scope to leverage the opportunity is huge.

THE IMPACT

Even if the 26 per cent tariff comes in, it should be way lower than what China attracts. But China is an evolved toy-maker, meeting 70-80 per cent of the US demand, whereas India has a tiny share in the global market, according to Ajay Aggarwal, president of the Toy Association of India. However, the 20-25 Indian firms that export to the US stand at risk of being affected, he adds. ■

HOW TO COME OUT A WINNER

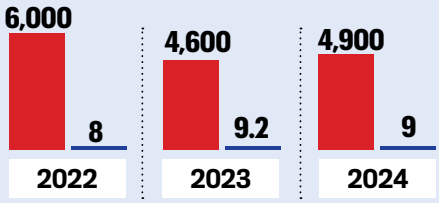


By **AJAY AGGARWAL**
President, Toy Association of India

- **India needs to enhance its R&D capabilities and create new products, as it currently focuses on producing soft toys, wooden toys and DIY kits, and STEM toys. This will help India gain a stronger foothold in the export market**
- **There is a need to promote and develop domestic capabilities of Indian manufacturers, as the majority currently lack the capacity to fulfil large-scale export orders**
- **The government can expedite the launch of the National Action Plan for Toys, which has been in the works for some time, to support local manufacturing**

SIZE OF TRADE

India is No. 4 among countries exporting apparel to the US (35% of our exports), leading to a $4.5 bn (Rs 38,939 cr.) trade deficit for the latter



India's exports to the US ($ mn)
India's imports from the US ($ mn)
**Source: UN Comtrade*

TARIFF WAR

Earlier

10.8-14.3%

22%

Now

37-40.3%*

Unchanged

US India

(Average tariff)

*Paused for 90 days



HOW TO COME OUT A WINNER

By **SUDHIR SEKHRI**
Chairman, Apparel Export Promotion Council

- **Current PLI scheme for textiles hasn't got many takers due to high investment threshold (min. Rs 100 crore). Modify criteria to let more firms in**
- **Interest equalisation scheme to reduce cost of credit needed for five years to help exporters stay competitive. Extend rebate scheme beyond March 2026**
- **Dedicated US Export Promotion Fund needed to help access the US market. It'll also help offset India's disadvantages after the reciprocal tariffs kick in**



GETTY IMAGES

Workers on the production line for Ralph Lauren clothing at a factory in Gurugram

bilateral trade agreement due this September will work things out. In the long term, if the tariffs rates threatened on April 2 kick in for all countries, India stands to gain, as it will get off lighter than competing countries in Asia, including Thailand, Bangladesh, Cambodia, Vietnam, China and Pakistan. Indian exporters will need to build capacity and be ready to seize the opportunity when business shifts to India. Support from the Centre will be crucial and if exporters grab their chances, they can help achieve the target of $40 billion (Rs 3.5 lakh crore) in apparel exports by 2030. ■

-with Anilesh S. Mahajan and Sonal Khetarpal